

Na Hale O Makena (NHOM) — Board of Directors Meeting Summary — May 15, 2026

Prepared from the complete re-transcribed Whisper transcript (v2026-07-14, generated with -mc 0), the Notice & Agenda, and the official DMI draft minutes. The transcript has no speaker labels (single mixed Zoom audio), so all attributions are by context — see §8 (Transcription-Reliability Notes). This re-transcription recovered the entire meeting, including the tail that the prior (looped) transcript lost.

1 Attendance

The meeting was held via Zoom on Friday, May 15, 2026, called to order at 1:02 p.m. HST and adjourned at 3:25 p.m. HST. The managing agent conducted roll call at the opening.

Name	Role	Present	Basis / Notes
Robert "Bob" Sutor	President	Yes	Roll call ("Robert Souter, president... here"). Presided; referred to throughout as "Bob."
Paul Reshke	Treasurer	Yes	Roll call ("Paul Risky, treasurer... here"). Delivered the Treasurer's report.
David "Dave" Rapp	Secretary	Yes	Roll call ("Dave Rapp, secretary... here").
Molly Duncan	Resident Manager	Yes	Delivered the Management Report; participated throughout. (Transcribed once as "Wally.")
Rena Tamura	Managing Agent — DMI, Senior Account Executive	Yes	Conducted roll call and read the certificate of notice; advised throughout on budget, reserve, insurance, and governance procedure. (Transcribed variously as "Reena," "Verena," "Nina," "Green," "Marina," "Rita.")

Quorum: Declared present with all three directors in attendance. No unit owners or guests are identifiable as speaking in the transcript. (The transcript's closing line names a "Steve" among those thanked; no such person attended — a transcription artifact, disregarded.)

2 Agenda Topics

2.1 Published Open-Session Agenda (Notice & Agenda, May 15, 2026)

1. Roll Call and Determination of Quorum
2. Call to Order by President / Presiding Officer
3. Reading of Certificate of Notice of Meeting
4. Approval of Minutes — March 5, 2026 Special Board Meeting

5. Reports of Officers & Resident Manager — (a) President's Report; (b) Treasurer's Report; (c) Resident Manager's Report
6. Unfinished Business — (a) [none listed]
7. New Business — (a) Review of 2026–2027 Reserve Requirements and Maintenance Items; (b) 2026–2027 Reserve Contribution Determination
8. Executive Session — (a) Legal; (b) Delinquencies; (c) Contracts; (d) Personnel
9. Adjournment

2.2 Additional New-Business Items (circulated separately by the President; formally added by motion)

1. Governance Documents and Board Administration — 1.1 Review/update of NHOM governance documents; 1.2 Five-member vs. three-member Board structure; 1.3 Ratification of Board email decisions at formal meetings
2. Insurance — 2.1 Review of NHOM 2026 property/general-liability insurance proposal
3. Financial and Professional Services — 3.1 Approval/execution of CPA 2026 engagement letter
4. Resident Manager Governance and Operations — 4.1 Realign RM reporting structure directly to the Board; 4.2 Realign RM responsibilities with NHOM operational priorities; 4.3 Clarify RM access to common facilities (pool, exercise facilities)
5. Support Animal Policy — 5.1 Review/adoption of ADA/FHA-compliant support-animal policy
6. Managing Agent Agreement — 6.1 Review/update of the DMI Management Agreement
7. Property Tax Matters — 7.1 Possible common representation for NHOM owner property-tax appeals

Note on coverage: Most published and additional items were reached. Not substantively addressed: published item 7(b), the 2026–2027 Reserve Contribution Determination (expressly deferred for lack of data); additional item 1.3 (ratification of email decisions) and item 5 (support-animal policy) were not discussed at all; and delinquencies (published item 8(b)) were not discussed. See §6.

3 Topic-by-Topic Summary (in meeting order)

3.1 Roll Call, Call to Order, Certificate of Notice

(a) **Discussion:** The managing agent conducted roll call, confirmed all three directors present and a quorum, and the President called the meeting to order at 1:02 p.m. HST. The certificate of notice was read into the record: notice of the meeting was emailed to the directors of record and filed in the managing agent's office (dates referenced as Tuesday, April 21 and Monday, May 11, 2026), and posted on property 72 hours prior to the meeting pursuant to Chapter 514B, Hawaii Revised Statutes (transcribed "514D").

(b) **Key points:** Procedural only.

(c) **MOTION/VOTE:** None required.

(d) **Action items:** None.

3.2 Approval of Minutes — March 5, 2026 Special Board Meeting

(a) **Discussion:** Members confirmed they had read the minutes; no comments or corrections.

(b) **Key points:** None of substance.

(c) **MOTION/VOTE:** Motion to approve the minutes of the March 5, 2026 meeting. **Reshke / Rapp** (per official minutes). **Passed — unanimous.**

(d) **Action items:** None.

3.3 Officers' & Resident Manager's Reports

3.3.1 President's Report

(a) **Discussion:** The President reported he is new and getting his "feet on the ground," with no substantive items, and looking forward to getting matters lined up for the Board over the coming year.

(b)–(d) No key points, motions, or action items.

3.3.2 Treasurer's Report

(a) **Discussion:** The Treasurer reviewed the April 30, 2026 financial statements. Operations are trending as projected, with a **~\$35,000 surplus** to date (i.e., \$35,000 under budget). Because the Board had budgeted a **\$35,000 loss** for the year using a 2025 surplus carryover, there is effectively about **\$70,000 of "wiggle room,"** and none of the **\$50,000 contingency** has been used. The surplus gives room for unbudgeted repair and maintenance projects (e.g., the completed A202 rental-unit painting). Headline item: property insurance premium quotes are dropping from **~\$427,000 last year to ~\$221,000 this year**, which the Treasurer said should set up a reduction in owners' maintenance fees.

(b) **Key points:**

- The Treasurer initially proposed targeting a fee reduction effective **July 1**.
- The managing agent advised that industry standard requires **30 days' notice before changing the budget/fees — even for a decrease** (per an association attorney she had consulted two days earlier). With May 15 already here, a July 1 effective date would be tight (roughly two weeks of runway), requiring budget work in June.
- The President urged **caution** about reducing fees prematurely: "it's not going to be a good look if we ever have to go back," and suggested targeting **August 1** instead.
- The **reserve contribution** was identified as the remaining "wild card" affecting any fee change.
- Rena noted that a comparable association had received three insurance summaries within one policy period after its agent obtained a better rate, leading to a mid-year budget redo and money returned to owners — context for why fee decreases still trigger the 30-day rule.

(c) **MOTION/VOTE:** None. No fee-reduction decision was made; timing left open (August 1 floated).

(d) **Action items:** Fee-reduction timing/analysis to be worked in June if pursued (tied to the reserve-contribution outcome).

3.3.3 Resident Manager's Report (Molly Duncan)

(a) **Discussion:** Occupancy is low and declining seasonally (**~19 occupants**). Status of projects:

- **A202 painting completed** — done quickly and cleanly.
- **Pool deck cleaning/sealing** essentially complete; RM to do a final walkthrough with the company owner for minor touch-ups before sign-off.
- A **new pavilion dining table** was chemical-etched by the pool-deck contractor, who has agreed **in writing** to replace it; retail **~\$1,800**, wholesale **~\$600**; RM working to handle it through the association at wholesale.

- **Lawn dethatching** essentially done; the landscaper recommends **sodding/plugging** two areas — **~600 sq ft at Building E and ~400 sq ft at Building D (~1,000 sq ft total)** — with a **~\$2,000** quote to be forwarded after the meeting.
- **Gnats** have returned.
- RM plans to **pressure-wash all walkways** and complete minor repairs during the quiet season.

(b) **Key points:**

- The sodding/plugging purpose is to push out crab/quack grass in areas that cannot be restored from seed. The affected D-building area is down below the shrubbery near the walkway (not directly in front of the Rich-and-Terry unit's lanai). The President asked that anything in front of Terry's unit be cleared with her first; Molly confirmed that area is in good shape and nothing is planned directly in front of it this time.
- **Gate / access-code system:** The RM is working on gate codes but has had to back off because the system is "archaic" — changing a code often fails to propagate correctly (e.g., updates at the building and car gate but not the pedestrian gate). The vendor offered a like-for-like replacement, but Molly is seeking **more modern options**. The President strongly supported **retiring the system** ("it needed to be retired five years ago"), citing owner experience and, above all, **fire-truck access/safety** (he referenced a Wailea property where gates delayed fire trucks). Rena offered a referral from a Kaanapali property that went fully digital (phone-open gates, gate camera). Reserve money is reportedly allocated for this project.
- Several **stucco areas** (including at the keypad structures by the gates) are broken/deteriorating; the President stressed that any spot with water intrusion needs at least a **temporary patch immediately**, then a proper stucco repair bundled into a large-enough job to attract a contractor.

(c) **MOTION/VOTE:** None.

(d) **Action items:** RM to send the sodding quote after the meeting; continue gathering gate-replacement options/quotes; pursue temporary stucco patching where water intrusion is occurring.

3.3.4 Investment / Money-Market Yields (raised during officer reports)

(a) **Discussion:** The Secretary (Dave) questioned why the association's money-market yields on the April report appear below market — he cited money-market rates around **~3.5%** available generally versus an Edward Jones money market showing **~2.25%** — and noted the checking account is carrying an unusually large balance (deliberately built up to cover the anticipated large insurance premium, now much smaller).

(b) **Key points:**

- Rena and the Treasurer explained Hawaii/AOAO investment constraints: conservative association investment rules, and the broker must be **licensed in Hawaii**, which can affect available rates; reserve funds are held largely in **laddered CDs** (3/6/9-month) tied to reserve/capital-expenditure timing to keep money liquid when projects come due.
- The Treasurer noted he had asked Rena to look into an Edward Jones money-market account for **operating** cash (the existing EJ money market is for **reserves**). Historically the Board took an aggressive stance on reserves to keep money in owners' hands, but flexibility is narrowing as AOAO reserve constraints tighten.
- Consensus: worth asking the question and revisiting current rates.

(c) **MOTION/VOTE:** None.

(d) **Action items:** Managing agent / Treasurer to look into an operating-cash money-market option and current rates (informal follow-up).

3.4 Unfinished Business (published item 6)

(a) **Discussion:** The President stated there was no unfinished business under the published agenda, and the Board moved to new business. (Governing documents were later added under "unfinished business" via the agenda amendment — see §3.6 and §4.1.)

3.5 New Business — Reserve Requirements & 2026–2027 Maintenance Items (published item 7(a))

(a) **Discussion:** The President framed the goal as building a **reasonable, factual process** for deciding which property components actually need work — informed by physical condition rather than simply the 2023 reserve-study schedule — while accounting for Fannie Mae / Freddie Mac requirements. Early on there was confusion because the RM was reviewing the "2026–2027 reserve funding" schedule while others were looking at the current-year (2026) financial-statement line items; Rena clarified that the financial-statement components come off the reserve schedule/study, and the group refocused on 2026 (with a look ahead to 2027).

(b) **Key points:**

- **RM walkthrough of 2026 components:** pool filter/jet pump (jet pump failed but was repaired; a replacement bid is in hand but on hold while it runs); elevator motors running well (no change needed); fire-hydrant/FDC and wet/dry standpipe testing (questioned whether annual testing belongs in reserves); uplighting (some fixtures intentionally disabled by owners because light intruded into bedrooms — the President noted his own unit).
- **Pavement (not on the reserve list):** The President — drawing on his background running an interstate/asphalt-concrete paving company — flagged **parking/pavement fracturing** beginning to admit water into the sub-base ("pay me now or pay me later") and asked to **add pavement reconditioning** to the list. He clarified he is proposing **sealing** now (the preventive step), not full repaving. The Secretary noted **carport concrete near Building C** is breaking up and **exposing rebar** (his stall and the adjacent one).
- **Reserve-study figures:** The prior board anticipated **\$249,113 (2026)** and **\$85,104 (2027)**, both sourced from the **September 2023** study (not an independent board determination). Discussion emphasized that a study's useful-life estimates are only as good as the association's records and the components' actual physical condition. Chillers are generally good, but a **leak in the chiller closest to one unit** needs repair. Elevator shafts are to be "**miked**" — **Dorvin** is scheduled to do that (not done in ~3 years).
- **Reserve-study firm selection:** Prior vendors mentioned — **Armstrong (2022)**, and recent bids from **Barreras** and **Hawaii Inspection Group (HIG / "Kit Carlin")**. The Board stressed the **individual inspector's construction experience**, not just the firm, and would want to see a résumé; a firm willing to produce a study **without a site visit** should be eliminated. The association is due for a new study this **fall** (~3-year cycle; last done Sept 2023).
- **Fannie/Freddie warrantability:** Loans must have reserve contributions **>= 15% of total assessment income beginning January 2027**. The Treasurer calculated that because the lower insurance premium reduces total fees (the denominator), the reserve percentage rises toward/above 15% largely by default — currently ~12–13%; reaching 15% might require only about **\$40/month per owner** if any top-up is needed. Caution was expressed about handing back "excess dues" before the updated study clarifies replacement costs.
- **Meeting cadence:** Next Board meeting targeted for **~two months out**; the RM asked for **4–6 weeks** to compile her lists.

(c) **MOTION/VOTE:** None on reserves. The President stated that published item 7(b), the **2026–2027 Reserve Contribution Determination**, **cannot be decided today and is deferred** pending data.

(d) **Action items / assignments:**

- **Molly (RM):** Compile a list of components/maintenance needing attention (bringing in inspections where appropriate); **add pavement reconditioning**; develop recommendations and rough numbers (including the gate system) for the next meeting; evaluate reserve-study firms **and the specific individual inspector**, report a recommendation, and determine the study's lead time.

- **Board:** Revisit the reserve-contribution determination once data is in hand.

3.6 Amendment of the Agenda (to add the additional new-business items)

(a) **Discussion:** The President noted he had circulated a list of additional items; Rena advised that amending the posted agenda requires a motion because the agenda is posted on property for owners. There was a brief sequencing exchange about the Fannie/Freddie item (the Treasurer had understood it to be the second published agenda item; the President folded it into the reserve discussion).

(c) **MOTION/VOTE:** Motion to **amend the agenda to add the additional new-business items** — governance documents (under unfinished business), and insurance renewal (property policy), the auditor engagement letter, the DMI contract, the resident-manager agreement, and property taxes (under new business). **Rapp / Reshke** (per official minutes). **Passed — unanimous.** (The President restated this amendment for the record near the close.)

3.7 Closing / Procedural

The President restated the agenda amendment for the record (see §3.6). The reserve-borrowing resolution, which had not yet been voted, was then formally adopted (see §4.2). Going forward, the managing agent agreed to **coordinate agenda topics with the Board** (historically the President's role) and to provide supporting information to the Board in advance so she can be prepared to address each topic. The meeting adjourned cordially at 3:25 p.m. HST.

4 New Business

The following items were circulated separately by the President ahead of the meeting and formally added to the agenda by motion (see §3.6); they are grouped here as the meeting's new business.

4.1 Governance Documents & Board Structure (Additional Item 1)

(a) **Discussion:** The President wants a clean, clearly-named, authoritative set of governing documents — something that could be handed to a realtor or owner with confidence that it constitutes NHOM's official recorded documents. He has organized the documents, checked their **Bureau of Conveyances record dates**, and put those dates into the file names. He proposed drafting amended/restated documents using an AI "legal extension," with **attorney review at the end** — analogous to how large law firms now do 80–90% of document shepherding via AI before an attorney signs off. The Treasurer (Paul) disclosed an in-progress project with the RM to update the **Rules and Regulations (House Rules)**, dated September 2017 and amended several times; that work required cross-checking the bylaws and declaration, and in the process he tracked down all the bylaws amendments and the declaration history — including an amendment the President had thought was missing, which Paul confirmed exists.

(b) **Key points:**

- **Document hierarchy (per Rena):** federal/state law (HRS 514B) > governing documents (declaration, bylaws, articles) > house rules. If governing documents fall out of alignment with current statute, statute trumps them, creating ambiguity — so all layers should be brought into alignment. **House rules** can be changed by the Board with a **30-day** owner comment period; **governing-document** amendments require an **owner vote (two-thirds / super-majority)**.
- **Problem being solved:** The original declaration and bylaws date to ~2000–2001 and contain outdated provisions, inconsistencies, and ambiguities. The President and Treasurer favor **restating both the bylaws and the declaration**, segregating changes that require an owner vote from non-substantive cleanups.

- **Five-member vs. three-member board (Item 1.2):** The bylaws currently require a **five-member** board; the Board has been operating with three. Arguments for three: efficiency (no meaningful efficiency gain from five, in members' experience) and the difficulty of recruiting willing owners; the Secretary observed that requiring **~12.5% of ownership** on the board seems excessive. The one drawback noted: under a five-member requirement, a three-member board needs **all three** present for quorum; amending the minimum to three lowers quorum to **two**. Consensus **leaned toward amending the bylaws to a three-member minimum** (which requires an owner vote), bundling other bylaw/declaration cleanups with it. An appointment route exists to fill seats between annual meetings (appointees stand for election at the next annual meeting); removal of a disruptive director may also be possible under the documents, though members agreed that route is "nuclear."
- **Transparency:** Members support transparent operation and owners observing meetings electronically (already enabled by the **October 2022** electronic-meetings/voting amendment). The President wants owner comment kept **separate from board deliberation** — owners invited to comment **after** a topic is discussed, not during — citing past inefficiency when owners participated in the board's discussion. He also endorsed providing owners the documents/financials they request rather than "blocking" them.
- **Electronic voting** for amendments is already adopted (Oct 2022), which should speed future amendment ballots.

(c) **MOTION/VOTE:** No formal motion on governance content; direction settled by **consensus** — pursue restated bylaws + declaration including the 5-to-3 board-size change (subject to owner vote and attorney review).

(d) **Action items / assignments:**

- **Paul (Treasurer):** Finish the **House Rules** update project (with Molly) — "really close."
- **Dave (Secretary):** **Take on the bylaws + declaration** restatement/amendment, with input from the others on desired changes; he favors a fully restated set with current law written in, bifurcating what changed (for the owner vote) from what did not.
- **Bob (President):** Send Dave the **AI-surfaced list of issues/proposed changes**; after the Board decides what to keep or discard, generate (via AI) the draft documents — both a "what changed for voting" version and a restated master — for board review, then transmit to the attorney once the Board says it is ready.
- **Attorney:** Final review of any drafts before the owner vote (no attorney yet named).

4.2 Insurance — 2026 Property & General-Liability Renewal (Additional Item 2)

(a) **Discussion:** The Board reviewed the President's AI-assisted comparison of the insurance proposal options (he circulated a shorter and a longer analysis; the shorter one compares pricing and flags coverages to verify). Only the **property** and **general-liability** policies are being renewed now; the other coverages (CGL/directors, crime, fidelity, umbrella, workers' comp, D&O) remain on the **August fiscal-year cycle** — Rena confirmed she had sent the **August 25, 2025** renewal schedule for those. The property premium is **\$221,731.02** (down from ~\$427K at the prior renewal; pre-Lahaina it was ~\$150–156K, and it had peaked around **\$627K**, which had triggered a special assessment of owners).

(b) **Key points:**

- The President's analysis recommended **Option 1** over Option 2 because Option 2 strips coverage: Option 2 carried a **\$50,000 water-damage deductible** (Option 1 has none — water events would fall under the normal **\$25,000** deductible), and Option 2 covered the roof at **ACV (actual cash value)** rather than **replacement cost**. Both were viewed as significant negatives given frequent water/leak events (roof and shower-stall leaks) and post-fire replacement-cost concerns.
- **Coverage verification:** The analysis flagged an apparently **missing general-liability (CGL)** line in the proposal; the Board wants to confirm it is in place. Rena confirmed **workers' comp is covered (Markel)** and that the other mandated coverages remain on the August schedule.

- **Appraisal:** A **Ryder Levitt Bucknall** appraisal was performed **March 2024** at **~\$68 million**; this year's coverage value is **~\$72 million (~5% higher)** — viewed as reasonable/more coverage.
- **Broker: Marsh McLennan** (via an "Atlas" company, part of Marsh McLennan); the Board wants a member to speak with the broker (**Robin**) to confirm understanding and that no coverages are being lost.
- **Premium financing / reserve borrowing:** Premiums are typically due ~30 days after binding; installment payments are sometimes available (agent-dependent) but financing adds interest. Last year the Board borrowed from reserves to fund the (much larger) prepaid premium — the Treasurer recalled ~\$300,000, but the **May 28, 2025 minutes show a motion to borrow up to \$425,000**, repaid by May 31, 2026. This year the Treasurer proposed authorizing a temporary reserve borrowing of **up to \$100,000** to bridge the payment, repaid from operating over ~6–7 months. Rena advised checking with Robin whether interest-free installments are available and noted that, because premium spikes are no longer an "emergency," current attorney guidance favors a **formal board resolution** for reserve borrowing (one attorney cited **HAR 16-107-66-C1** emergency-use language for another association and suggested notarization). The Board concluded notarization was **not** required here and that a board-adopted, Treasurer-signed resolution suffices. The President noted his AI research found **no state or federal prohibition** on borrowing to fund mandatory insurance. The Secretary (Dave) questioned why the prepayment is **borrowed each year rather than accrued in operating cash** on a go-forward basis — flagged as a cash-flow item to fix; the Treasurer agreed and will confirm the true due date with Robin.

(c) **MOTIONS/VOTES:**

- **Insurance renewal (Option 1 — property + GL):** Approved by **consensus, conditioned on** one board member (**Paul**) speaking with broker **Robin** to verify understanding; the decision stands unless that conversation surfaces something that changes it. No standalone roll-call vote on the renewal itself is captured in the transcript, and the official minutes record no separate renewal motion.
- **Reserve-borrowing resolution:** Taken up at the **end of the meeting** (it had been drafted but not yet voted). The President read/shared the resolution; he **corrected a wrong repayment year** in the draft (the draft read "May 31, 2026"). Motion to approve the resolution to borrow from reserves (up to **\$100,000**) to finance the 2026 insurance premium. **Sutor / Rapp** (per official minutes). **Passed** ("Aye. Aye. Aye."). *(The transcript garbles the amount once as "\$5,000"; the resolution text, the surrounding discussion, and the official minutes are consistently \$100,000. Per the official minutes the repayment date is no later than May 31, 2027 — the corrected year.)*

(d) **Action items / assignments:**

- **Paul (Treasurer):** Call broker **Robin** to confirm coverages (including the CGL line) and payment terms (full prepayment vs. interest-free installments) and report back; sign the reserve-borrowing resolution.
- **Bob (President):** Finalize and email the corrected borrowing resolution (drafted via AI).
- **Board (go-forward):** Address **accruing the insurance premium in operating cash** to avoid annual reserve borrowing.

4.3 CPA 2026 Engagement Letter (Additional Item 3)

(a) **Discussion:** The President noted the CPA audit engagement letter for the 2026 year had not yet been signed/approved. Fee: **\$7,400** this year, up ~\$200 from **\$7,200** last year.

(b) **Key points:** Nominal increase; no objection.

(c) **MOTION/VOTE:** Motion to approve the engagement letter for the **December 31, 2026** year-end audit. **Sutor / Rapp** (per official minutes). **Passed — unanimous.**

(d) **Action items:** Execute the CPA engagement letter.

4.4 Resident-Manager Governance & Operations (Additional Item 4)

(a) **Discussion:** The President wants the RM employment agreement revised to (i) remove **micromanagement** provisions (prescriptive logs, equipment-log requirements, tasks like "pull the manhole cover off the pump station once a week") and (ii) make clear the **RM reports to the Board, not to DMI**. DMI's proper role is administrative/accounting/compliance support and vendor/resource expertise — not operational decision-making on property; the intent is for the Board to set goals and have the RM propose a management plan. He also wants to formalize **RM (and significant-other) access to common facilities** (pool, gym) as a standing term of employment rather than a per-board approval.

(b) **Key points:**

- The Secretary (Dave) questioned whether there was an actual practical problem or just a desire to clean up the contract. The President argued the current contract is "riddled" with provisions that do not reflect how the association actually operates, exposing the RM to technical "violations" and the association to litigation risk — he said he "could probably come up with a couple of violations right now."
- Rena noted these topics (contracts/personnel) should properly be handled in **executive session**, even though no other owners were present for this portion, and that the RM's agreement was **drafted/reviewed by the association's attorney**. Changes limited to reporting structure and facility access (not basic employment terms) were viewed as lower-risk; the President countered that removing prescriptive tasks **does** modify duties. Molly said she did not see those granular task requirements in the agreement she actually holds and is happy to review the President's update.

(c) **MOTION/VOTE:**

- **Facilities access:** Motion to authorize that **Molly Duncan and her significant other have access to the common facilities** (pool and related amenities on the property). **Rapp / Reshke** (per official minutes). **Passed** (confirmed at close: "we voted on it").
- **Contract micromanagement/reporting revisions: No vote** — the President stated the purpose today was only to "run it by the board"; a revised draft will come back to a future meeting.

(d) **Action items / assignments:**

- **Bob (President):** Draft a revised RM agreement removing micromanagement provisions and clarifying Board-reporting; share with Molly for input; bring to a future meeting.

4.5 Managing Agent (DMI) Agreement (Additional Item 6)

(a) **Discussion:** Brief. The President said the DMI Management Agreement needs updating but he had not received the full/last page of the contract. Rena apologized and said she had sent the complete contract shortly before the meeting (she had been in a seminar that day).

(c) **MOTION/VOTE:** None.

(d) **Action items:** Managing agent to ensure the President has the **complete DMI agreement**; review/update to be taken up at a future meeting.

4.6 Property Tax Matters — Common Representation for Owner Appeals (Additional Item 7)

(a) **Discussion:** The President proposed the association consider **engaging legal counsel to represent owners collectively on Maui County property-tax assessment appeals**, arguing the county over-reaches on valuations (he cited **30–40%** over-assessment) and relies on part-time/absentee owners not challenging them. In his experience, having an attorney who will "hold their feet to the fire" materially improves outcomes, and the cost is small relative to tax savings (a figure of **~\$10,000 savings per owner** was floated).

(b) **Key points:**

- The Secretary (Dave) recalled an attorney at the annual meeting ~two years ago saying appeals were essentially individual and could not be aggregated, and that the firm did not do that kind of representation. The President said that view is "absolutely wrong" — owners can be represented **collectively or individually** as a legal right.
- **Calendar/status (from a March email from "Lori"):** The property-tax review board operates on an **April–March cycle**; in the last March cycle it did **not** address a number of taxpayer appeals, **including all of NHOM's** (filed April 2025). Hearings are expected to resume **June/July**, presumably starting with the unaddressed 2025 appeals. From Lori's earlier (November) update, a clerk had indicated NHOM appeals would "very likely" be heard together, subject to the assessor. Members noted that roughly half to three-quarters of owners appealed, and that in a prior cycle an in-person appeal produced a significant reduction after an unreasonable first decision — reinforcing the value of representation.
- Whether this falls within the association's authority/scope (general benefit) needs to be verified.

(c) **MOTION/VOTE: None — no decision.** Explicitly deferred: "so no decision... I'll put that on the agenda for the next meeting."

(d) **Action items / assignments:**

- **Bob (President):** Contact an attorney (mentioned a possible **"Tom Walsh"**) to gauge feasibility/approach.
- **Dave (Secretary):** Consult the association's legal counsel for their view.
- **Board:** Verify whether common representation is within the association's scope/authority; consider soliciting owner feedback (website post or email); decide at the next meeting.

5 Consolidated Action Items / Assignments

Item	Owner	Topic	Notes
Compile list of property components/maintenance needing attention (with inspections as needed); add pavement reconditioning	Molly (RM)	Reserves / Maintenance	For next meeting (~2 months); RM requested 4–6 weeks
Develop recommendations + rough numbers (incl. gate/access system replacement)	Molly (RM)	Reserves / Maintenance	Bring proposals/quotes to next meeting; reserve funds reportedly allocated for the gate
Evaluate reserve-study firms and the specific inspector; recommend who performs the new (fall) study; determine lead time	Molly (RM)	Reserve Study	Prior/bid vendors: Armstrong (2022), Barreras, HIG/Kit Carlin; due ~fall (3-yr cycle from Sept 2023)
Send lawn sodding/plugging quote (~\$2,000; ~600 sq ft Bldg E, ~400 sq ft Bldg D)	Molly (RM)	Grounds	To be sent after the meeting
Pursue temporary stucco patching where water intrusion is occurring; bundle stucco repairs into one job	Molly (RM)	Maintenance	Includes keypad structures at the gates
Continue gate-system replacement options/quotes	Molly (RM)	Operations	Rena offered a Kaanapali (digital-gate) referral

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Item	Owner	Topic	Notes
Get the chiller leak repaired; have Dorvin mike the elevator shafts	Molly (RM)	Reserves / Maintenance	Dorvin already scheduled
Finish House Rules update project	Paul (Treasurer)	Governance Docs	With Molly; really close
Take on bylaws + declaration restatement/amendment (incl. 5-to-3 board size)	Dave (Secretary)	Governance Docs	Needs others' input; owner vote + attorney review required
Send Dave the AI-surfaced issues list; generate draft documents (voting version + restated master) after Board decides; transmit to attorney when ready	Bob (President)	Governance Docs	Two-thirds owner vote for governing-doc changes
Call broker Robin to confirm coverages (incl. CGL line) + payment terms (prepay vs. interest-free installments); report back	Paul (Treasurer)	Insurance	Condition on the renewal approval
Sign reserve-borrowing resolution	Paul (Treasurer)	Insurance / Finance	Up to \$100,000; repay by May 31, 2027
Finalize/email borrowing resolution (corrected year)	Bob (President)	Insurance / Finance	Adopted by the Board
Plan go-forward accrual of insurance premium in operating cash	Board / Treasurer	Finance	Avoid annual reserve borrowing
Execute CPA 2026 engagement letter (\$7,400)	Board / Treasurer	Professional Services	Approved unanimously
Draft revised RM agreement (remove micromanagement; clarify Board-reporting); share with Molly	Bob (President)	RM Contract	Bring back to a future meeting; facilities-access already approved
Ensure President has complete DMI agreement; tee up review	Rena (DMI) / Board	Managing Agent Agreement	Full contract sent just before the meeting
Contact attorney (e.g., Tom Walsh) re collective property-tax representation	Bob (President)	Property Tax	Decision deferred to next meeting
Consult association legal counsel on property-tax representation; verify association scope/authority	Dave (Secretary) / Board	Property Tax	Consider owner feedback (website/email)
Look into operating-cash money-market account / current rates	Rena (DMI) / Paul (Treasurer)	Investments	Informal follow-up
Coordinate future meeting agendas with the Board; provide info in advance	Rena (DMI)	Meetings	Historically the President's role

6 Open Items / Items Deferred

1. **2026–2027 Reserve Contribution Determination (published item 7(b))** — **deferred**; cannot be decided without updated data. Next meeting (~2 months).
2. **Maintenance-fee reduction** — no decision; timing unresolved (July 1 floated, then August 1 suggested; the 30-day notice requirement and the reserve-contribution outcome are gating factors). To be worked in June if pursued.
3. **New reserve study (fall 2026)** — firm/individual inspector to be selected; RM to recommend; lead time TBD.
4. **Bylaws & Declaration restatement (incl. 5-to-3 board size)** — direction set by consensus; drafting to be led by Dave with Bob's AI-surfaced issues list; requires owner vote and attorney review. Open.
5. **House Rules update** — in progress (Paul/Molly); not finalized.
6. **RM employment-agreement revision (reporting structure / remove micromanagement)** — draft to come; only the facilities-access piece was approved this meeting.
7. **DMI Management Agreement update** — complete contract now delivered; review deferred to a future meeting.
8. **Property-tax common representation** — no decision; on next meeting's agenda; attorney/counsel inquiries and a scope/authority check to be made first.
9. **Insurance renewal final confirmation** — approval is conditional on Paul's call with broker Robin and on confirming the CGL/general-liability coverage that appeared missing from the proposal.
10. **Operating-cash accrual vs. annual reserve borrowing** — flagged for a go-forward fix; unresolved.
11. **Investment yields / operating money-market account** — to look into current rates; unresolved.

6.1 Agenda Items NOT Discussed in the Transcript

- **Additional item 1.3 — Ratification of Board email decisions at formal meetings:** No discernible discussion. **Not reached.**
- **Additional item 5 — Support Animal Policy (ADA/FHA):** No discernible discussion. **Not reached.**
- **Executive Session (published item 8 — Legal, Delinquencies, Contracts, Personnel):** No separate executive session is captured. Rena noted that contracts/personnel **should** be handled in executive session, but the recording reflects them discussed in the general meeting (no other owners present on that portion). **Delinquencies were not discussed.**

7 Motions Log

All motions made during the May 15, 2026 meeting, in the order made. Mover/seconded names are taken from the **official DMI draft minutes** (the transcript has no speaker labels); results reconciled with the transcript.

#	Motion	Moved / Seconded	Result
1	Approve the minutes of the March 5, 2026 Special Board Meeting	Reshke / Rapp	Passed — unanimous

#	Motion	Moved / Seconded	Result
2	Amend the posted agenda to add the additional new-business items (governance documents; insurance renewal — property policy; CPA engagement letter; DMI contract; RM agreement; property taxes)	Rapp / Reshke	Passed — unanimous
3	Approve the CPA 2026 audit engagement letter (year-end December 31, 2026; fee \$7,400)	Sutor / Rapp	Passed — unanimous
4	Authorize that the Resident Manager (Molly Duncan) and her significant other have access to the common facilities (pool and related amenities)	Rapp / Reshke	Passed
5	Adopt the resolution authorizing a temporary loan from reserve funds (up to \$100,000) to finance the 2026 insurance premium, repayable no later than May 31, 2027	Sutor / Rapp	Passed (aye / aye / aye)

Handled without a formal carried roll-call motion:

- **Insurance renewal (Option 1 — property + general liability):** approved by **consensus, conditioned on** Paul Reshke confirming coverage details with broker Robin before it is final. No standalone roll-call vote on the renewal itself is captured in the transcript, and the official minutes record no separate renewal motion.

Failed motions: None — no motion failed at this meeting.

8 Transcription-Reliability Notes (for the record)

- **Source:** This summary was prepared from the **complete re-transcription** of the meeting audio (Whisper, v2026-07-14, generated with -mc 0), which recovered the **entire meeting including the tail** (CPA engagement letter, RM-contract/facilities-access vote, DMI contract, property-tax discussion, and the closing reserve-borrowing resolution vote). An earlier transcript looped almost immediately and captured only a small fraction of the meeting; where the two differ, this complete transcription governs.
- **No speaker labels:** The audio is a single mixed Zoom track, so the transcript contains **no speaker labels**. All in-text attributions are **by context**. Higher-confidence attributions: Treasurer = financial/insurance/borrowing content (Paul Reshke); Secretary = governance-doc assignment, money-market question, five-vs-three view (David Rapp); President = governance/RM-contract/property-tax initiatives, pavement, gate (Robert Sutor); managing-agent procedural guidance (Rena Tamura); RM operations (Molly Duncan).
- **Mover/seconded authority:** Where the transcript's spoken move/second lines are not individually attributable, mover/seconded names are taken from the **official DMI draft minutes**, which are the authority for motions, movers, seconds, and outcomes.

- **Name normalization (silent in the body):** "Robert Souter" to Robert "Bob" Sutor; "Paul Risky" to Paul Reshke; "Dave Rapp" to David Rapp; "Wally" to Molly Duncan; "Reena / Verena / Nina / Green / Marina / Rita" to Rena Tamura; "Mahaleo Makena / Nahalay / Na Halio McKenna" to Na Hale O Makena. The closing line's "Steve" is a transcription artifact — no such person attended.
- **Numeric/citation corrections flagged:** The reserve-borrowing figure is rendered once in the spoken vote as "\$5,000" but is consistently **\$100,000** in the resolution text, the discussion, and the official minutes. HRS "514D" should read **514B**. The Treasurer recalled last year's reserve borrowing as ~\$300,000, but the May 28, 2025 minutes show **up to \$425,000**.
- **Reconciliation — resolution repayment date:** The draft resolution read aloud stated repayment by "May 31, 2026"; the President caught the wrong year and corrected it during the meeting. The official minutes record the adopted resolution as repayable **no later than May 31, 2027**, which is used here.
- **Clean roll-call "aye" votes captured:** minutes approval (unanimous), agenda amendment (unanimous), CPA engagement letter (unanimous), facilities-access motion (passed), and the reserve-borrowing resolution (aye/aye/aye). A standalone roll-call vote on the insurance renewal itself is **not** captured; it was handled as a conditional consensus approval pending the broker call.